3.4.3 Lean production and just in time

Unit 3.4 Operational management · 8 key points

- **Lean production:** cutting all forms of waste
- **Types of waste:** excess stock, defects, waiting time, unnecessary movement, overproduction
- **Just in time (JIT):** stock arrives just before it is needed, so little is held
- **Just in case:** holding buffer stock in case of problems
- **JIT benefits:** less cash tied up, less storage space, less waste
- **JIT drawbacks:** depends on reliable suppliers; one late delivery can stop production
- **Kaizen:** continuous small improvements, often suggested by staff
- **Trap:** lean production is not the same as capital intensive